Grade 7 Economic and Management Sciences: Needs, wants and a small business budget

Economic and Management Sciences · Grade 7 · 40 marks · 90 minutes

Educator marking memo

Suggested answers and marking points. Accept equivalent correct responses appropriate to the grade.

Assessment

Read the stimulus and each question carefully.

> *Lebo sells fruit cups at a school market. She buys 30 cups at R4 each and fruit for R90. She sells 24 cups at R12 each. Six cups remain unsold. Her table fee is R30. All amounts are in rand.*

1.1 (6 marks) Classify these four items—fruit bought, cups bought, table fee, and money received from cups sold—as a production input, business expense, sales revenue, or all categories that apply. Explain why the fruit and table fee fit their categories.

- Classifies the fruit bought as both a production input and a business expense. (1 mark)
- Classifies the cups bought as both a production input and a business expense. (1 mark)
- Classifies the table fee as a business expense. (1 mark)
- Classifies money received from cups sold as sales revenue, not a business expense. (1 mark)
- Explains that the fruit is used in the product and its purchase is an outlay. (1 mark)
- Explains that the table fee pays for market selling space. (1 mark)

1.2 (6 marks) Calculate revenue from the cups sold.

- Identifies 24 cups sold. (1 mark)
- Identifies selling price R12 per cup. (1 mark)
- Uses 24 x R12. (1 mark)
- Calculates 20 x 12 = R240 or equivalent. (1 mark)
- Calculates 4 x 12 = R48 or equivalent. (1 mark)
- Gives revenue R288. (1 mark)

1.3 (8 marks) Calculate sales revenue and the cash remaining after the stated outlays. Explain why that cash balance alone does not establish profit.

- Calculates cup cost: 30 x R4 = R120. (1 mark)
- Identifies fruit cost R90. (1 mark)
- Identifies table fee R30. (1 mark)
- Adds the three outlays to get R240. (1 mark)
- Calculates sales revenue as 24 x R12 = R288. (1 mark)
- Subtracts stated outlays from revenue. (1 mark)
- Gives R48 cash remaining after those outlays. (1 mark)
- Notes that six cups remain unsold, so inventory value/cost treatment is needed to establish accounting profit. (1 mark)

1.4 (10 marks) Explain two reasons the six unsold cups matter for the next market day. Use case facts to recommend how many cups to make or buy, and address freshness or safety, waste, and why unsold stock is not sales revenue.

- States unsold cups represent stock not sold. (1 mark)
- Notes that ingredients or cups may have cost money. (1 mark)
- Explains that demand may be lower than expected. (1 mark)
- Suggests adjusting quantity made or bought. (1 mark)
- Uses one relevant scenario figure. (1 mark)
- Recognises food freshness/safety constraints. (1 mark)
- Avoids counting unsold cups as sales revenue. (1 mark)
- Gives a second distinct planning reason. (1 mark)
- Connects planning to reducing waste or cost. (1 mark)
- Writes a supported explanation. (1 mark)

1.5 (10 marks) Recommend one change for Lebo's next market day and support it with two calculations or facts from the case.

- States one realistic change. (1 mark)
- Uses the 24 cups sold as evidence. (1 mark)
- Uses the 6 unsold cups as evidence. (1 mark)
- Calculates or cites revenue of R288. (1 mark)
- Calculates or cites the stated costs of R240. (1 mark)
- Shows a correct comparison or inference. (1 mark)
- Explains how the change may improve planning. (1 mark)
- Considers customer demand. (1 mark)
- Keeps the recommendation within the information provided. (1 mark)
- Presents a clear supported conclusion. (1 mark)

Marking checks

Confirm section totals equal the stated total. Apply the grade-appropriate memo style in the Grade Profile and moderate open-ended answers before use.

Source basis: DBE CAPS Economic and Management Sciences · senior_grade_7_9. See the grade receipt for the official PDF URL and SHA-256.

DRAFT — Qualified educator review required before classroom use.